

AML Policy and Procedures

1. Enterprise-Wide Anti-Money Laundering and Countering the Financing of Terrorism Assessment Framework

The enterprise-wide Money Laundering and Financing of Terrorism (“ML/FT”) risk assessment is intended to enable UNIWEB to better understand its overall vulnerability to money-laundering or terrorism financing risks. This forms the basis for UNIWEB’s overall risk-based approach.

1.1. Enterprise-Wide Risk Assessment

UNIWEB shall take appropriate steps to identify, assess and understand its ML and TF risks on an enterprise-wide level. This includes a consolidated assessment of UNIWEB’s ML/TF risks that exist across all its business units in relation to:

- (a) its customers (including target markets and segments);
- (b) the countries or jurisdictions its customers are from or in;
- (c) the countries or jurisdictions UNIWEB has operations in; and
- (d) the products, services, transactions and delivery channels of UNIWEB.

Specifically, such risks that are taken into consideration include:

- (a) country or jurisdiction that customers are in;
- (b) transaction risks;
- (c) credit risks of customers;
- (d) liquidity risks of customers;
- (e) operational risks, such as the implementation of adequate controls and measures to mitigate against employee errors or malfeasance; and
- (f) compliance risks in relation to third-party relationships, products and services.

In conducting its enterprise-wide ML/FT risk assessment, UNIWEB takes the following steps:

- (a) Based on the above risk factors, UNIWEB will consider the risk factors before determining its level of overall risk;
- (b) Thereafter, it will develop appropriate mitigation measures to reduce the effects of such risks (to be elaborated on in Section 1.2);
- (c) UNIWEB will also keep the risk assessments up-to-date, by reviewing the risk assessments at least annually, or when a material trigger event occurs; and
- (d) UNIWEB has implemented a reporting channel such that risk assessment information may be provided to MAS when MAS requests for information.

A material trigger event is when UNIWEB is notified by MAS of a breach of any applicable law or regulation.

When the enterprise-wide risk assessment is reviewed during the annual review, UNIWEB will conduct a check for compliance risks, and will assess whether the enterprise-wide risk assessment framework at that time is sufficient. If there are additional items requested or recommended by MAS, UNIWEB will incorporate such items into their enterprise-wide risk assessment framework. This regular review will be done by the Compliance Department, vetted by the Head of the Compliance Department and submitted to the CEO of UNIWEB for final approval.

Where a material trigger event occurs, UNIWEB will freeze customer accounts (if applicable), report the problem to the Compliance or Operations Department. The Compliance or Operations Department will conduct a detailed review on the enterprise-wide risk assessment, and will submit a report of the review, as well as a report of the breach to the Head of Compliance, who will then report to the CEO. The CEO will then

decide on how to address the matter. Information required by MAS will also be given to MAS by the Compliance Department.

The results of these reviews will be documented and approved by senior management even if there are no significant changes to the enterprise-wide ML/TF risk assessment. Senior management shall approve UNIWEB's enterprise-wide ML/TF risk assessment and relevant business units should give their full support and actively co-operate with UNIWEB to ensure that the enterprise-wide ML/TF risk assessment and the risk assessment information are made available to the MAS upon request.

1.2. Risk Mitigation

To mitigate against risks identified during the enterprise-wide risk assessment, UNIWEB shall:

- (a) develop and implement policies, procedures and controls, which are approved by senior management, to enable UNIWEB to effectively manage and mitigate the risks that have been identified by UNIWEB or notified to it by MAS or other relevant authorities in Singapore;
- (b) monitor the implementation of those policies, procedures and controls, and enhance them if necessary;
- (c) perform enhanced measures where higher risks are identified, to effectively manage and mitigate against those higher risks; and
- (d) ensure that the performance of measures or enhanced measures to effectively manage and mitigate against the identified risks address the risk assessment and guidance from MAS or other relevant authorities in Singapore.

When developing risk mitigation policies and procedures, UNIWEB will take the following steps in relation to all products and services offered by UNIWEB:

- (a) The corresponding anti-money laundering and countering the financing of terrorism ("**AMLCFT**") regulations will be listed out;
- (b) Inherent risks and red flags will be identified;
- (c) The product will be given a risk rating based on the inherent risks and red flags identified;
- (d) Mitigating measures will be developed to combat each red flag or risk; and
- (e) If necessary, a residual risk rating will be given to the product, where such risk rating evaluates the risk of the product even after steps have been taken to mitigate against such risks and red flags.

UNIWEB's risk mitigation policies and procedures will be reviewed annually based on the following factors:

- (a) the ability to identify changes in a customer profile (e.g. Politically Exposed Person ("**PEP**") status) and transactional behaviour observed in the course of UNIWEB's business;
- (b) the potential for abuse of new business initiatives, products, practices and services for ML/TF purposes;
- (c) the compliance arrangements (through its internal audit or quality assurance processes or external review);
- (d) the balance between the use of technology-based or automated solutions with that of manual or people-based processes, for AMLCFT risk management purposes;
- (e) the coordination between AMLCFT compliance and other functions (e.g. antifraud, general compliance, trade operations, etc.) of UNIWEB;
- (f) the adequacy of training provided to employees and officers and awareness of UNIWEB's employees and officers on AMLCFT matters;
- (g) the process of management reporting and escalation of pertinent AMLCFT issues to the UNIWEB's senior management and board;
- (h) the cooperation and coordination between UNIWEB and regulatory or law enforcement agencies; and

- (i) the performance of third parties relied upon by UNIWEB to carry out CDD measures.

The Compliance Department will oversee the monitoring of the implementation of the policies, procedures and controls.

1.3. *New Products, Practices and Technologies*

When the Company:

- (a) Develops a new product and new business practices, including new delivery mechanisms; or
- (b) Use or develop new technologies for both new and pre-existing products,

it shall identify and assess the ML/TF risks that may arise from the development and undertake the risk assessments prior to the launch and take appropriate measures to manage and mitigate the risks, especially when it favours anonymity.

The Company's assessment of ML/TF risks in relation to new products, practices should be focused on new products, practices and technologies that deal with customer funds or the movement of such funds. Factors that will taken into consideration for such assessment of new products, practices and technologies include:

- (a) Ability to manage fund risks;
- (b) Ability to reduce systematic error;
- (c) Ability to detect money laundering; and
- (d) Whether there is an increase in any risk arising from use or implementation.

These assessments will be conducted by the Compliance Department and approved by senior management.

2. *Customer Due Diligence ("CDD")*

UNIWEB will take all reasonable steps to establish to its satisfaction, the true and full identity of each customer, at the time that the relationship is established. UNIWEB will not open or maintain anonymous accounts or accounts in fictitious names. If the CDD process is not cleared and an account is not opened with UNIWEB, then no transactions can take place through or with UNIWEB.

2.1. *When CDD Is Performed*

UNIWEB will undertake due diligence on a customer when:

- (a) UNIWEB establishes business relations with any customer;
- (b) There is a suspicion of ML/TF; or
- (c) UNIWEB has doubts about the veracity or adequacy of any information previously obtained.

2.1.1. *Suspicion of ML/TF*

If UNIWEB has reasonable grounds to suspect that the assets or funds of a customer are proceeds of drug dealing or criminal conduct, or are properly related to the facilitation or carrying out of any terrorism financing offence, UNIWEB shall not establish business relations or undertake a transaction for the customer, and will file a suspicious transaction report ("**STR**") in accordance with Section 6.

UNIWEB will rely on the following factors to determine if there is suspicion of ML/TF:

- (a) Account activity inconsistent with the customer profile;
- (b) High selling price of a product that is inconsistent with the nature of the product;
- (c) The customer is a newly incorporated company with low capital;

- (d) Whether a customer is currently having a promotion or sale such that there is an increase in transaction volume and amount; and/or
- (e) There is no legitimate physical store for the business.

UNIWEB's Operations Department also monitors transactions for linked transactions, whereby linked transactions are frequent and cumulatively large transactions without any apparent or visible economic or lawful purpose, e.g. frequent deposits and withdrawals from the same account over a short period of time, or multiple money transfers over a short period of time such that the amount of each money transfer is not substantial, but the total amount transferred is substantial. When monitoring the transactions, the Operations Department will verify whether such transactions are reasonable. For example, a large transaction may be reasonable if that merchant is in the business of selling big ticket items or expensive services. If the Operations Department deems such transactions unreasonable, then they will call the merchant to verify the situation. The Operations Department will also contact the Compliance Department to conduct Enhanced CDD.

2.2. CDD Process

Before an account is opened with UNIWEB, the merchant must pass UNIWEB's CDD process. Merchants will have to submit the documents and provide the information set out in Section 2.4 to the Operations Team. When conducted the CDD, the Operations Team will fill in the Merchant Risk Assessment CDD Checklist which may be found at Schedule 1. The Operations Team will then conduct a risk assessment based on the following factors:

- (a) Country or jurisdiction that the merchant is from;
- (b) Merchant type and business model;
- (c) Ultimate beneficial ownership;
- (d) Appearance on any international sanctions list;
- (e) Complexity of entity structure;
- (f) Product or Service; and
- (g) Delivery Channels.

If merchants pass the CDD process, they will be sorted into three categories: (1) Low Risk; (2) Medium Risk; and (3) High Risk. This will be elaborated on in Sections 2.6 to 2.9.

2.3. Timing for Verification

UNIWEB shall complete the verification of the identity of the customer before establishing any business relations or undertaking any transactions for the customer. However, verification of the identity of the customer and, where appropriate, the beneficial owner, may be completed during the establishment of business relations when:

- (a) The deferral in the completion of the verification of the identity of the customer or the beneficial owners is essential in order to not disrupt the normal conduct of business operations; and
- (b) The risks of ML/TF can be effectively managed by UNIWEB.

UNIWEB will suspend business relations with the customer and refrain from carrying out further transactions (except to return funds to their sources, to the extent that this is possible) if such verification remains uncompleted 30 business days after the establishment of business relations.

UNIWEB will terminate business relations with the customer if such verification remains uncompleted 120 business days after the establishment of business relations.

Where CDD measures are not completed within the time period allowed, UNIWEB shall not commence or continue business relations with any customer, or undertake any transactions for any customer. The CEO shall be informed and in consultation with

directors, consider if the circumstances are suspicious so as to warrant the filing of a STR in accordance with Section 6.

The designated officer from the Compliance Department shall maintain a log detailing the list of outstanding documents and number of days outstanding.

2.4. *Documents and Information Collected During CDD*

If originals of any of the documents requested cannot be obtained, then certified true copies of the above documents should be obtained, or a confirmation by the UNIWEB employee that he or she has sighted the original document.

Where identification documents are obtained, such identification documents must contain a clear photograph of that customer to verify the identity of the information obtained from the customer. Where UNIWEB obtains data, documents or information from the customer or a third party, it should ensure that such data, documents or information is current at the time they are provided to UNIWEB. UNIWEB will ensure that documents obtained for performing any of the measures required are clear and legible.

All documents obtained that are not in the English language will be translated to English.

Where the customer is a Singapore Government entity, UNIWEB shall only be required to obtain the UEN numbers of such entity issued by the corresponding government agencies (as listed on www.uen.gov.sg) as may be required to confirm that the customer is a Singapore Government entity as asserted.

2.4.1. Identification and Verification of Customers and Ultimate Beneficial Owners

“Beneficial owner” means the natural person who ultimately owns or controls the customer or the natural person on whose behalf a transaction is conducted or business relations are established, and include any person who exercises ultimate effective control over a legal person or legal arrangement, but shall not include a natural person who is considered a customer.

“Connected party” means

- (a) in relation to a legal person (other than a partnership), a director or any natural person having executive authority in the legal person;
- (b) in relation to a legal person that is a partnership, any partner or manager; and
- (c) in relation to a legal arrangement, any natural person having executive authority in the legal arrangement.

“Legal arrangement” means a trust or other similar arrangements.

“Legal person” means an entity other than a natural person that can establish a permanent customer relationship with a financial institution or otherwise own property.

The documents and/or information primarily collected by UNIWEB during the CDD process may be found in Appendix 1.

For elaboration purposes, they are also listed here.

Documents that UNIWEB will collect are:

- (a) ACRA Business profile (or equivalent) that has been extracted within the 6 months prior to the date of the commencement of the CDD process;
- (b) Proof of address of the company (such as phone bills, utilities bills or government letters that have been dated within the 6 months prior to date of the commencement of the CDD process);
- (c) Annual report or audited financial statements (if available) for the past three years;

- (d) Certificate of Registration or Incorporation (if applicable);
- (e) Partnership deed, Memorandum and Articles of Association or Constitution (whichever is applicable);
- (f) If required under the Partnership deed, Memorandum and Articles of Association or Constitution of the client, Board Resolution to approve the adoption of the payment services provided by UNIWEB;
- (g) Ultimate beneficial owner identification (to be elaborated on in Section 2.4.2);
- (h) Identification documents of directors, connected parties, shareholders and/or owners of a sole proprietorship, such as a passport or Singapore NRIC;
- (i) Proof of address of shareholders where such document must have been dated within the 6 months prior to the date of the commencement of the CDD process; and
- (j) Shopfront photo, where the shop photo must show the unit number (if applicable).

Where possible, UNIWEB will verify the details on the ACRA business profile with the proof of address and identification documents provided to it. If the details of the directors, connected parties, shareholders and/or owners show up on Google, UNIWEB will also use the information on Google to verify the information provided.

From the above listed documents, information that UNIWEB should have is:

- (a) In relation to directors, connected parties, shareholders and/or owners of a sole proprietorship, their:
 - (i) Full name;
 - (ii) Identification number;
 - (iii) Date of birth;
 - (iv) Residential address; and
 - (v) Nationality;
- (b) Registered name of the company; and
- (c) Registered address of the company.

Contact details of the directors, connected parties, shareholders and/or owners of a sole proprietorship will also be requested. Such contact details include their contact number and their email address.

Where identification documents are collected, UNIWEB will check that such identification documents are valid based on the expiration date of the identification document.

In relation to the shopfront photo, UNIWEB will also verify that the shopfront photo is an authentic one by cross-checking with mall directories and/or making on-site visits to verify that such a shop exists.

For the avoidance of doubt, UNIWEB only deals with Singapore government entities, sole proprietorships, partnerships and companies, and does not deal with other legal entities, such as trusts.

2.4.2. Identification and Verification of Ultimate Beneficial Owner

Where there is one or more beneficial owner in relation to a customer, UNIWEB shall identify the beneficial owners and take reasonable measures to verify the identities of the beneficial owners using the relevant information or data obtained from reliable, independent sources. For the purposes of identifying the natural person who ultimately owns the legal person or legal arrangement, the shareholdings of the natural person in the ownership structure of the legal person or legal arrangement is any natural person who owns more than 25% of shareholding.

For customers that are legal persons, UNIWEB shall:

- (a) Identify the natural persons (whether acting alone or together) who ultimately own the legal person;

- (b) To the extent that there is doubt under subparagraph (a) as to whether the natural persons who ultimately own the legal person are the beneficial owners or where no natural persons ultimately own the legal person, identify the natural persons (if any) who ultimately control the legal person or have ultimate effective control of the legal person; and
- (c) Where no natural persons are identified under subparagraph (a) or (b), identify the natural persons having executive authority in the legal person, or in equivalent or similar positions.

For customers that are legal arrangements,

- (a) For trusts, identify the settlor, the trustee, the protector (if any), the beneficiaries and any natural person exercising ultimate ownership, ultimate control or ultimate effective control over the trust (including through a chain of control or ownership); and
- (b) For other types of legal arrangements, identify persons in equivalent or similar positions, as those described under subparagraph (i).

Where the customer is a legal person, UNIWEB shall take reasonable measures to understand the ownership and control structure of the customer. Where there is a complex ownership or control structure (e.g.: more than 3 layers to the ultimate beneficial owner), UNIWEB shall obtain enough information to sufficiently understand if there are legitimate reasons for such ownership or control structure.

UNIWEB shall not be required to inquire if there exists any beneficial owner in relation to a customer that is –

- (a) An entity listed on the Singapore Exchange¹;
- (b) An entity listed on a stock exchange outside of Singapore that is subject to^{2,2}:
 - (i) Regulatory disclosure requirements; and
 - (ii) Requirements relating to adequate transparency in respect of its beneficial owners (imposed through stock exchange rules, law or other enforceable means);
- (c) A financial institution supervised by the Authority (as set out in Appendix 2);
- (d) A financial institution incorporated or established outside Singapore that is subject to and supervised for compliance with AML/CFT requirements consistent with standards set by the Financial Action Task Force (“FATF”); or
- (e) An investment vehicle where the managers are financial institutions -
 - (i) Set out in Appendix 2; or
 - (ii) Incorporated or established outside Singapore but are subject to and supervised for compliance with AML/CFT requirements consistent with standards set by the FATF,

unless UNIWEB has doubts about the veracity of the CDD information, or suspects that the customer, business relations with, or transaction for the customer, may be connected with ML or TF.

For the purposes of paragraphs (d) and (e)(ii), UNIWEB shall document the basis for its determination that the requirements set out in those paragraphs have been duly met.

UNIWEB will take steps to determine if there exists, other than the person ex facie dealing with UNIWEB as a customer, any other beneficial owner in relation to the customer. Generally, UNIWEB will assess and determine the measures which would be appropriate

¹ Where a customer is majority-owned subsidiary of a publicly listed legal person or any government entity, UNIWEB shall identify and verify the identity of non-publicly listed or non-governmental beneficial owners who own more than 25% of the customer or who otherwise control the customer.

² Where a customer is a listed in a foreign stock exchange and subject to regulatory disclosure requirements, UNIWEB shall perform an internal assessment process with clear criteria, taking into account the country risk and the level of the country’s compliance with the FATF standards, to determine if the foreign stock exchange is subjected to adequate transparency in respect of its BOs.

to determine the beneficial owners, if any. UNIWEB must be able to justify the reasonableness of the measures taken, having regard to the circumstances of each case. UNIWEB may also consider obtaining an undertaking or declaration from the customer on the identity of, and the information relating to, the beneficial owner.

To identify the ultimate beneficial owner of an entity, the form in Appendix 3 will be filled in by the customer.

A copy of the shareholding structure, tracing to the final ultimate beneficial owner(s) is also required.

2.4.3. Identification and Verification of Identity of Natural Persons Appointed to Act on the Customer's Behalf

If one or more natural persons are appointed to act on behalf of the customer in establishing business relations, UNIWEB shall verify the identity of each natural person who acts or is appointed to act on behalf by obtaining the following information of such natural person:

- (a) Full name, including any aliases
- (b) Unique identification number (such as identity card number, birth certificate number or valid passport number);
- (c) Residential address;
- (d) Date of birth; and
- (e) Nationality.

Such information will be obtained by collecting the identification document of the person and their proof of address. If information on them can also be found on Google, information obtained from the identity documents will be verified against the Google searches.

The following are obtained to verify the authority of each natural person appointed to act on behalf of the customer:

- (a) Documentary evidence, such as a power of attorney, authorising the appointment of such natural person by the customer to act on his behalf; and
- (b) Specimen signature.

If originals are not available, then certified true copies of the above documents to be obtained.

2.5. *Screening*

As a preventive measure, UNIWEB screens customers, natural persons appointed to act on behalf of the customer, connected parties of the customer and beneficial owners of the customer against relevant ML and TF information sources, as well as the MAS Alert List and other lists and information provided by the MAS or other authorities in Singapore for the purpose of determining if there are any ML or TF risks in relation to a customer.

Screening is also done to identify if a customer, connected party of the customer and/or beneficial owner of the customer is a PEP.

This is required regardless of the risk profile of the customer.

The Company uses World Check (owned and operated by Refinitiv) for internal screening purposes.

2.5.1. Timing of Screening

Screening is performed:

- (a) When, or as soon as reasonably practicable after, UNIWEB establishes business relations with a customer;
- (b) On a periodic basis after UNIWEB establishes business relations with the customer; and
- (c) When there are changes or updates to:
 - (i) the lists and information provided by the MAS or other relevant authorities in Singapore to UNIWEB; or
 - (ii) the natural persons appointed to act on behalf of a customer, connected parties of a customer or beneficial owners of the customer.

2.5.2. Results of Name Screening

If there are no matches found related to ML/TF, other illegal activities or financial crimes, the staff member from the Compliance Department shall document the assessment.

If the screening results in any matches relating to ML/TF, other illegal activities or financial crimes, the staff member should determine if the hit is:

- (a) A match by name but a false hit – the staff member must document the reasons for disposal of the hit; or
- (b) A true match – the staff member shall not proceed with any transactions and refer this to the CEO immediately.

In the event of a true match, the designated officer will perform additional independent checks and analyse the information in consultation with the Head of Compliance, to decide if the customer account will be frozen and a STR filed.

If any staff member is in doubt, the CEO will be referred to immediately. The results of screening results and assessment shall be printed out, signed-off for audit trail and filed, even when there are no hits.

2.6. *Customer Risk Assessment*

Merchants who are categorised as Low Risk and who fulfil the requirement(s) in Section 2.7 will have Simplified CDD performed on them.

Merchants who are categorised as Low Risk but do not meet the requirement(s) in Section 2.7 and merchants who are categorised as Medium Risk will have Regular CDD performed on them.

Merchants who are categorised as High Risk will have Enhanced CDD performed on them.

2.6.1. Low Risk

Situations classified as Low Risk include:

In the case of customers:

- (a) An enterprise with revenue not exceeding S\$1million per annum;;
- (b) A Singapore Government entity;
- (c) Entities listed on a stock exchange and subject to regulatory disclosure requirements relating to adequate transparency in respect of beneficial owners (imposed through stock exchange rules, law or other enforceable means); and
- (d) An FI incorporated or established outside Singapore that is subject to and supervised for compliance with AML/CFT requirements consistent with standards set by the FATF.

In the case of products, services, transactions or delivery channels:

- (a) Physical products;
- (b) Product price lower than S\$200;

- (c) A pension, superannuation or similar scheme that provides retirement benefits to employees, where contributions are made by way of deduction from wages, and the scheme rules do not permit the assignment of a member's interest under the scheme; and
- (d) Financial products or services that provide appropriately defined and limited services to certain types of customers (e.g. to increase customer access for financial inclusion purposes).

2.6.2. High Risk

Situations classified as High Risk include:

In relation to customers:

- (a) A customer that MAS or relevant authorities are of the opinion that such customer presents a higher risk for ML/TF;
- (b) A company with a complex company structure with multiple layers of shareholdings;
- (c) A company with no physical store (e.g. only an online shop);
- (d) An individual who is a PEP;
- (e) A customer (corporate, trust or any other legal arrangement) whose beneficial owner is a PEP;
- (f) A customer (corporate, trust or any other legal arrangement) incorporated in (or its ultimate beneficial owner being domiciled in) a country or jurisdiction:
 - (i) classified as high risk (refer to Appendix 4 for country risk classification),
 - (ii) countrywide Sanctions have been imposed only by the US in respect of the following countries:
 1. Burma (Myanmar)
 2. Cuba
 3. Iran
 4. North Korea
 5. Sudan
 6. Syria
 7. **The Crimea, Donetsk and Luhansk region of the Ukraine, Russia, Venezuela**
 - (iii) where the FATF has called for counter measures on a country; or
 - (iv) known to have inadequate AML/CFT measures (refer to Appendix 5 for the list of countries by FATF); or
- (g) Suspicions that the existing customer is evading tax.

In relation to products and services, products with an unusually high price will be taken into account in assessing if the customer's risk level.

UNIWEB shall adopt a risk-based approach in determining whether to perform Enhanced CDD measures for:

- (a) Domestic PEPs, their family members and close associates;
- (b) International organisation PEPs, their family members and close associates; and
- (c) PEPs who have stepped down from their prominent public functions, taking into consideration the level of influence such persons may continue to exercise after stepping down from their prominent public functions, their family members and close associates.

2.6.3. Medium Risk

Customers and/or products, services, transactions and delivery channels which are neither Low Risk nor High Risk will be classified as Medium Risk.

2.7. *Simplified CDD*

UNIWEB will only perform Simplified CDD if a customer is classified as a Low Risk and if the transactions undertaken by UNIWEB for the customer (other than transactions undertaken by UNIWEB to transfer funds from the customer's payment account directly to that customer's bank account) in any one-year period cumulatively not exceeds S\$20,000.

Where Simplified CDD is performed, the following measures will be taken:

- (a) The account with UNIWEB will be opened after requested documents and information as set out in Section 2.4 have been provided to and verified by UNIWEB's Compliance Department;
- (b) Ongoing monitoring of transactions will take place on a monthly basis; and
- (c) The documents and information as set out in Section 2.4 must be updated once every two years.

2.8. Regular CDD

Where Regular CDD is performed, the following measures will be taken:

- (a) The account with UNIWEB will be opened after requested documents and information as set out in Section 2.4 have been provided to and verified by UNIWEB's Compliance Department;
- (b) Ongoing monitoring of transactions will take place on a fortnightly basis; and
- (c) The documents and information as set out in Section 2.4 must be updated annually.

2.9. Enhanced CDD

Where Enhanced CDD is performed, the following measures will be taken:

- (a) The account with UNIWEB will be opened after:
 - (i) Requested documents are provided to and verified by UNIWEB;
 - (ii) Approval has been obtained from senior management to establish or continue the business relations; and
 - (iii) Source of funds has been confirmed by the merchant and thoroughly research by the Compliance Department;
- (b) Ongoing monitoring of transactions will take place on a daily basis; and
- (c) The documents and information as set out in Section 2.4 must be updated every six months.

2.10. Retention and Maintaining of Information

UNIWEB shall retain and file copies of all reference documents used to verify the identity of the customer, even when the merchant passes UNIWEB's CDD process.

UNIWEB must be able to identify all customers using original identification documents issued by reliable and independent sources and file copies, indicating 'copy of original,' in the customer's file. In exceptional circumstances where UNIWEB is unable to retain a copy of the documentations, UNIWEB should record the following:

- (a) Information that the original documentation had served to verify;
- (b) Title and description of the original documentation produced to UNIWEB's employee for verification;
- (c) Reasons why a copy of that documentation could not be made; and
- (d) Name of UNIWEB employee who carried out the verification, a statement by that employee or officer certifying verification of the information against the documentation and the date of the verification.

3. Ongoing Monitoring

3.1. Intensity of Ongoing Monitoring

As explained in Sections 2.7 to 2.9, the intensity of ongoing monitoring differs depending on the type of CDD that is conducted on the customer.

For clarity, the intensity of ongoing monitoring for each type of CDD is set out in the following table:

Type of CDD	Intensity of Ongoing Monitoring
Simplified	Monthly
Regular	Fortnightly
Enhanced	Daily

The varying intensities of the ongoing monitoring correspond to how frequently the Operations Department will check the transactions for that customer.

3.2. *How Monitoring is Conducted*

Transactions made will be reflected on the Gateway Portal and can be downloaded in Excel spreadsheet. The Operations Department will then filter through the Excel spreadsheet for suspicious transactions.

Further, on the occurrence of a trigger event, CDD measures will be conducted on a customer or transaction. Such trigger events are:

- (a) A significant transaction, relative to the average transaction size of that customer takes place;
- (b) A material change occurs in the way the customer's account is operated;
- (c) There are repeated transactions within a short time period or outside of operating hours;
- (d) The customer's CDD information changes substantially; and
- (e) There is insufficient information on the customer.

3.3. *Retention of Customers*

Where UNIWEB assesses the customer or the business relations with the customer referred to above to be of higher risk, it shall perform enhanced CDD measures, which shall include obtaining the approval of UNIWEB's senior management to retain the customer.

4. *Reliance on Third Parties*

UNIWEB shall not rely on a third party to conduct ongoing monitoring of business relations with customers.

UNIWEB may rely on a third party to perform the CDD measures required if the following requirements are met:

- (a) UNIWEB is satisfied that the third party it intends to rely upon is subject to and supervised for compliance with AML/CFT requirements consistent with standards set by the FATF, and has adequate AML/CFT measures in place to comply with those requirements;
- (b) UNIWEB takes appropriate steps to identify, assess and understand the money laundering and terrorism financing risks particular to the countries or jurisdictions that the third party operates in;
- (c) The third party is not one on which UNIWEB have been specifically precluded by the MAS from relying; and
- (d) The third party is able and willing to provide, without delay, upon UNIWEB's request, any data, documents or information obtained by the third party with respect to the measures applied on UNIWEB's customers, which UNIWEB would be required or would want to obtain.

UNIWEB may take the following measures to satisfy the above points (a) and (b):

- (a) Referring to any independent and public assessment of the overall AML/CFT regime to which the third party is subject to;
- (b) Referring to any publicly available reports or material on the quality of that third party's compliance with applicable AML/CFT rules;
- (c) Obtaining professional advice as to the extent of AML/CFT obligations to which the third party is subject to with respect to the laws of the jurisdiction in which the third party operates;
- (d) Examining the AML/CFT laws in the jurisdiction where the third party operates and determining its comparability with the AML/CFT laws of Singapore; and
- (e) Familiarising with the policies and procedures of the third party.

Where UNIWEB relies on a third party to perform the CDD measures, it shall document the basis for its satisfaction that the requirements stated in points (a) and (b) above have been met, except where the third party is a financial institution set out in the Appendix 2 UNIWEB must also immediately obtain from the third party the CDD information which the third party had obtained. Despite the reliance upon a third party, UNIWEB remains responsible for its AML/ CFT obligations.

5. Wire Transfers

Before effecting a wire transfer, UNIWEB shall:

- (a) Identify the wire transfer originator and verify his or her identity; and
- (b) Record adequate details of the wire transfer so as to permit its reconstruction, including
 - i. the date of the wire transfer;
 - ii. the type;
 - iii. the amount of currency transferred;
 - iv. and the value date.

UNIWEB acts as a wire transfer originator when Uniweb receives the settlement from the ewallet partners, and acts as a wire transfer beneficiary when Uniweb processes settlement to its merchants.

5.1 Responsibilities as the ordering institution:

All details of any wire transfers are properly documented and stored on UNIWEB's Dropbox. Details recorded and stored are:

- (a) Date of transfer;
- (b) Currency;
- (c) Merchants' bank details
- (d) Amount of transfer; and
- (e) Value Date.

5.1.1 Cross-Border Wire Transfers Below or Equal to S\$1,500

When such wire transfers are made, UNIWEB will include in the message or payment instruction:

- (a) Its name;
- (b) Its account number;
- (c) The name of the wire transfer beneficiary; and
- (d) The wire transfer beneficiary's account number or, if there is no account number, a unique transaction reference number.

5.1.2 Cross-Border Wire Transfers Exceeding S\$1,500

The name of the wire transfer beneficiary and the wire transfer beneficiary's account number are fully traceable within the beneficiary country.

5.1.3 Domestic Wire Transfers

Payment instruction includes name, account number, and UEN of UNIWEB.

5.2 Responsibilities as the beneficiary institution

Uniweb performs daily monitoring to check through the cross-border wire transfers. When cross-border transfers that lack the required wire transfer originator or required wire transfer beneficiary information are identified, Uniweb will execute, reject, or suspend the wire transfer if the above information cannot be obtained. The compliance team will file an STR when such transfer amount exceeds S\$1,500.

6. Suspicious Transaction Reporting

6.1. Reporting Process

UNIWEB will ensure that suspicious transactions are reported to the Head of Compliance and a Suspicious Transaction Report ("**STR**") will be made within 5 working days from discovery of the suspicious transaction.

Where a suspicious transaction is detected through the ongoing monitoring measures set out in Section 3, the Operations Department will contact the customer and assess if there is a good reason for the suspicious transaction and if it is a one-off occurrence. Good reasons are usually corroborated by facts, such as promotions that can be found online.

If the reason is one that the Operations Department does not think is a good one, then the Finance Department will suspend the settlement and submit a filled Form 1 to the Compliance Department. The Compliance Department will then decide if an STR should be submitted to MAS.

Where an STR is not made, UNIWEB will document its reasons for such decision. Regardless of whether an STR is eventually made to MAS, UNIWEB will save the populated Form 1 for record.

If suspicion has been raised in relation to a customer or any transaction, in addition to reporting the activity, UNIWEB should ensure that appropriate action is taken to mitigate the risk of UNIWEB being used for ML/TF activities. This may include strengthening and enhancing its AMLCFT processes. The customer's risk classification may also be reviewed.

6.2. Guidelines for Filing STRs

UNIWEB shall consider if the circumstances are suspicious as to warrant the filing of an STR and document the basis for its determination, including where:

- (a) Transactions which do not make economic sense
 - i. Transactions in which total payments to the merchants over the payment system far exceed the business activities of the merchants;
- (b) Transactions involving large amounts of cash
 - i. Frequent large amount of transactions transacted over the payment systems;
 - ii. Frequent cancelled transactions made over the payment systems; or
- (c) The customer is reluctant, unwilling or unable to provide information requested by UNIWEB and decides to withdraw or terminate any pending transactions or established business relations

7. Personal Data

UNIWEB shall not be required to provide an individual customer, an individual appointed to act on behalf of a customer, an individual connected party of a customer or an individual beneficial owner of a customer, with

- (a) Any access to personal data about the individual that is in the possession or under the control of UNIWEB;
- (b) Any information about the ways in which the personal data of the individual under subparagraph (a) has been or may have been used or disclosed by UNIWEB; or
- (c) Any right to correct an error or omission of the personal data about the individual that is in the possession or under the control of UNIWEB.

As soon as reasonably practicable, upon the request of an individual customer, an individual appointed to act on behalf of a customer, an individual connected party of a customer or an individual beneficial owner of a customer, provide the requesting individual with the right to:

- (a) Access the following types of personal data of that individual, that is in the possession or under the control of UNIWEB:
 - (i) His full name, including any alias;
 - (ii) His unique identification number (such as an identity card number, birth certificate number or passport number);
 - (iii) His existing residential address and contact telephone number(s);
 - (iv) His date of birth;
 - (v) His nationality; and
 - (vi) Subject to section 21(2) and (3) read with the Fifth Schedule to the Personal Data Protection Act 2012 (Act 26 of 2012), any other personal data of the respective individual provided by that individual to UNIWEB; and
- (b) Subject to section 22(7) and the sixth schedule to the Personal Data Protection Act, correct an error or omission in relation to the types of personal data set out above, provided UNIWEB is satisfied that there are reasonable grounds for such request.

To comply with the MAS Notice, UNIWEB shall, whether directly or through a third party, collect, use and disclose personal data of an individual customer, an individual appointed to act on behalf of a customer, an individual connected party of a customer or an individual beneficial owner of a customer, without the respective individual's consent.

8. Record Keeping

8.1. *Types of Documents Retained*

UNIWEB must be able to maintain, obtain, prepare or produce all data, documents and information necessary to meet the requirements that follows:

- (a) all requirements imposed by law are met;
- (b) any individual transaction undertaken by UNIWEB can be reconstructed (including the amount and type of currency involved) so as to provide, if necessary, evidence for prosecution of criminal activity;
- (c) the MAS or other relevant competent authorities in Singapore and the internal and external auditors of UNIWEB are able to review UNIWEB's business relations, transactions, records and CDD information and assess the level of compliance with this section; and
- (d) UNIWEB can satisfy, within a reasonable time or any more specific time period imposed by law or by the requesting authority, any enquiry or order from the relevant competent authorities in Singapore for information.

UNIWEB keeps a soft copy record of:

- (a) All transactions undertaken;
- (b) All wire transfers; and
- (c) All customer CDD information;
- (d) All populated Form 1s for STRs (whether or not an STR is submitted to MAS) and
- (e) Agreements with customers.

UNIWEB keeps a hard copy record of:

- (a) Agreements with customers;
- (b) All populated Form 1s for STRs (whether or not an STR is submitted to MAS); and
- (c) UNIWEB bank statements.

8.2. *Record Retention Period*

All documents are retained and stored for at least 5 years.

9. **Internal policies, Compliance, Audit and Training**

9.1. *Compliance*

UNIWEB's Compliance Department ensures that regulatory requirements are met, by developing and implementing policies, procedures and controls to meet regulatory requirements. Where necessary, the Compliance Department will incorporate feedback or measures suggested by external vendors and/or auditors into such policies and procedures.

UNIWEB's Compliance Department currently consists of 2 members:

- (a) Ye Yuan Yuan, the Head of Compliance; and
- (b) Kaylynn Liu, a Compliance Officer.

9.2. *Audit*

UNIWEB has engaged Capital Governance(S) Pte Ltd as an internal auditor to assess the effectiveness of UNIWEB's internal policies, procedures and controls, and its compliance with regulatory requirements.

9.3. *Employee Hiring*

UNIWEB screens its employees to ensure high standard when hiring employees and appointing officers.

9.4. *Training*

Currently, the Compliance Department is in charge of training all employees, and does so by presenting slideshows on AMLCFT regulations and UNIWEB's own internal AMLCFT policies, procedures and controls. The Compliance Department shall retain and maintain the records of employees' training log.

All staff currently undergo such training when they are hired and shall continue to attend AMLCFT trainings annually thereafter. UNIWEB shall engage external vendors to conduct additional AMLCFT trainings as and when required.

List of Appendices

1. Appendix 1 – Merchant Risk Assessment CDD Checklist
2. Appendix 2 – List of Financial Institutions Supervised by MAS
3. Appendix 3 – Form for Declaring Beneficial Owners
4. Appendix 4 – Country Risk Classification
5. Appendix 5 – List of Countries Known to Have Inadequate AMLCFT Measures